

Chapter 1

Investment versus Speculation: Results to Be Expected by the Intelligent Investor

This chapter will outline the viewpoints that will be set forth in the remainder of the book. In particular we wish to develop at the outset our concept of appropriate portfolio policy for the individual, nonprofessional investor.

Investment versus Speculation

What do we mean by “investor”? Throughout this book the term will be used in contradistinction to “speculator.” As far back as 1934, in our textbook *Security Analysis*,¹ we attempted a precise formulation of the difference between the two, as follows: “An investment operation is one which, upon thorough analysis promises safety of principal and an adequate return. Operations not meeting these requirements are speculative.”

While we have clung tenaciously to this definition over the ensuing 38 years, it is worthwhile noting the radical changes that have occurred in the use of the term “investor” during this period. After the great market decline of 1929–1932 *all* common stocks were widely regarded as speculative by nature. (A leading authority stated flatly that only bonds could be bought for investment.²) Thus we had then to defend our definition against the charge that it gave too wide scope to the concept of investment.